

excellent prospect for return combined with a margin of safety. This applies to a number of asset classes.

Equity

When we make an equity investment in a business, we go beyond balance sheet analyses and the search for a margin of safety to seek out growing businesses with defensible niches, good returns on capital, and reasonable valuations. Such businesses should also be involved in expanding industries in countries where the rule of law is strongly enforced. We shy away from those businesses and industries where the potential range of outcomes is particularly wide and avoid entirely those where our skill set limits our ability to either evaluate the business or handicap the likelihood of a particular outcome. Over the years, we have found our better investments have been those with more than one way to win and with substantial upside potential so that a lot of money can be made if things turn out favorably.

CVS Health, one of the nation's two largest pharmacy retailers, had many of the characteristics we like to see, including inexpensive multiples of cash flow and earnings, industry growth, and good management. Besides its ubiquitous drugstores, it owned Caremark, a pharmacy benefit management (PBM) business. To assess the value of its shares, we separated the business into its two primary parts. In 2010, the company as a whole traded at about 11.5x estimated one-year forward earnings; however, if we applied the same valuations to CVS's PBM that were applied to its peers, then the valuation of the remaining business (primarily CVS pharmacy and retail) was just 9.4x one-year forward earnings—that is, it was inexpensive and there was a margin of safety.

The pharmacy segment was well-positioned to benefit from several industry macro trends, including an aging U.S. population that would be needing more prescription medicines, Federal healthcare